TOPIC ① · SAMPLE MC #1

Kahn Retailing Success Matrix

📄 SAMPLE **HOW IT WAS ASKED**

“According to the Kahn Success Matrix, Amazon's strategy could be characterized as:”

✔ **Best at Frictionless, leveraging that advantage to be the best at Low Price, and fair value at Brand and Customer Experience**

✘ Best at Customer Experience and brand, fair value on low price and frictionless

✘ Best at Low Price and Brand, fair value at frictionless and customer experience

✘ Best at Customer experience, leveraging that to be best at Brand, fair value at low price and frictionless

Learn it

THE BIG PICTURE IN PLAIN ENGLISH

Prof. Kahn wrote *The Shopping Revolution* because many stores were failing (the “retail apocalypse”). Her question: **why do some retailers win?** Her answer: customers go where they get the **best value on what they care about**. There are only four basic ways to offer superior value. Winners are the **best at one**, use it to become **best at a second**, and are “**good enough**” at the other two.



What you sell (left) vs how you sell it (right)

Quadrant	Plain meaning
Brand	The **products** themselves pull you in: strong brands, great merchandise, design. *Nordstrom, Lululemon, Warby Parker, luxury.*
Experiential	The **shopping itself** is enjoyable: fun, discovery, service, community. *Sephora, Apple Store, Costco's treasure hunt.*

Low Price	**Cheapest**, through super-efficient operations. *Walmart (EDLP), Costco, T.J.Maxx.*
Frictionless	**Easiest**: no lines, fast delivery, everything in one place, personalized with data. *Amazon.*

The rules (memorize these four lines)

1. **Survive:** be at least at **fair value** (customers' minimum expectation) in **all four**. Fall below in any one and customers leave (RadioShack went out of business).
2. **Lead:** be the **best in one** quadrant, then **leverage** that strength to become best in a **second** (the "arrow" strategy).
3. **Don't overspend** on the other two. "Good enough" is enough; extra money there takes resources from your strengths.
4. **The bar keeps rising:** when a leader offers something better (2-day delivery), it becomes everyone's new minimum.

Who wins where (the two-quadrant strategies) 📊 SLIDES/BOOK

Retailer	Started best at…	Leveraged into…	How
Amazon	**Frictionless**	**Low Price**	**"Everything store," data, fast delivery → scale lets it guarantee very low prices**
Walmart	Low Price	Frictionless	EDLP + supply-chain efficiency → bought Jet.com for omnichannel
Warby Parker / Zara	Brand	Low Price	Hip brand + cut out the middleman
Costco / T.J.Maxx	Low Price	Experiential	"Treasure hunt": you never know what you'll find

Luxury brands	Brand	Experiential	Top products need luxurious experiences too
Sephora	Experiential	Frictionless	Try-it-yourself stores + huge loyalty program across store and online

> **COMMON TRAP**
> Amazon and Walmart win in the **same two quadrants** (Frictionless + Low Price) but **start from opposite strengths**. Read "best at X, *leveraging* that to be best at Y" carefully: the first named is the starting strength.

In the simulation (Pivot or Perish) 🎤 CLASS

You run **Getchells = Macy's**, a mid-tier department store "**stuck in the middle**." Kahn in class: *"the mid-tier are stuck in the middle... it's the ones stuck in the middle"* that fail; multi-brand stores that pick a clear strategy (Sephora, T.J.Maxx, Walmart, Costco) win. **Fair value = 75% of the leader**. Your spending moves you only if you **outspend competitors** over time ("sluggish"). Levers: online → Frictionless; shopping experience → Experiential; vendor management → Low Price; brand quality → Brand; customer service → both Frictionless and Experiential; analytics = booster. Past teams did best leading in **2** with parity in the other 2.

Practice: multiple choice (10), with answers

MC 1 [SAMPLE EXAM]

According to the Kahn Success Matrix, Amazon's strategy could be characterized as:

- **✔ CORRECT: Best at Frictionless, leveraging that advantage to be the best at Low Price, and fair value at Brand and Customer Experience**
- Best at Customer Experience and brand, and fair value on low price and frictionless
- Best at Low Price and Brand, and fair value at frictionless and customer experience
- Best at Customer experience and leveraging that to be the best at Brand, and fair value at low price and frictionless

EXPLANATION

Amazon's core strength is convenience (huge selection, fast delivery, one-click buying). That scale and data let it also offer very low prices. It only needs to be 'good enough' at being a luxury brand or a fun place to shop.

MC 2 [SLIDES]

Walmart's strategy on the Kahn Matrix is best described as:

- **✔ CORRECT: Best at Low Price, leveraging that to build Frictionless (e.g., buying Jet.com), with fair value in Brand and Experience**
- Best at Frictionless, leveraging that into Low Price
- Best at Brand and Experience
- Best at Experiential, leveraging into Brand

EXPLANATION

Same two quadrants as Amazon, but opposite starting point. Walmart began as the low-price leader through efficient operations (EDLP), then invested in online convenience.

MC 3 [SLIDES]

Costco and T.J.Maxx combine Low Price with which second quadrant?

- ✔ **CORRECT: Experiential: the 'treasure hunt' of never knowing what you'll find**
- Brand: carrying only luxury brands
- Frictionless: fastest delivery
- None; they lead only in Low Price

EXPLANATION

Shopping there is fun because the stock keeps changing, so people come back often. Low price plus a fun experience.

MC 4 [SLIDES]

Warby Parker is a good example of which pairing?

- ✔ **CORRECT: Brand + Low Price**
- Experiential + Frictionless
- Low Price + Frictionless
- Brand + Experiential

EXPLANATION

A cool brand that is also much cheaper than traditional eyewear, because it cut out the middleman by selling direct.

MC 5 [SLIDES]

According to Kahn, what must a retailer do simply to SURVIVE?

- **✔ CORRECT: Reach at least fair value (customers' minimum expectation) in all four quadrants**
- Be the best in all four quadrants
- Lead in at least three quadrants
- Have the lowest price

EXPLANATION

Falling below the minimum anywhere (say, terrible delivery) drives customers away even if you're great elsewhere. RadioShack failed this way.

MC 6 [SLIDES]

Why does Kahn warn against being MORE than 'good enough' in your non-leadership quadrants?

- **✔ CORRECT: Extra spending there drains resources better used on your two leadership strengths**
- Customers dislike retailers that are good at everything
- It lowers fair value for competitors
- It is not allowed in the simulation

EXPLANATION

Money is limited. 'Good enough' suffices in the weaker areas; put the rest into the two areas where you win.

MC 7 [SLIDES]

Why does competing get harder over time on the matrix?

- **✔ CORRECT: When a leader offers something better (2-day delivery), it becomes everyone's new minimum, so the fair-value bar keeps rising**
- Customers' tastes get simpler
- The number of quadrants grows
- Prices always fall to zero

EXPLANATION

Yesterday's competitive edge becomes today's basic expectation. Amazon raised everyone's delivery expectations.

MC 8 [SAID IN CLASS]

In class, Kahn said mid-tier department stores like Macy's (Getchells in the simulation) struggle mainly because:

- **✔ CORRECT: They're 'stuck in the middle': not clearly best at anything**
- Multi-brand retailing can never work
- They have too few stores
- They charge prices that are too low

EXPLANATION

Multi-brand retailers like Sephora, T.J.Maxx, and Costco do great because they lead somewhere. Mid-tier department stores don't stand out on any dimension.

MC 9 [SAID IN CLASS]

In Pivot or Perish, 'fair value' in a quadrant equals:

- **✔ CORRECT: 75% of the leader's score in that quadrant**
- 50% of the average score
- 100% of the leader's score
- A fixed number set in round 1

EXPLANATION

It moves: if the leader improves, the minimum you need rises too.

MC 10 [SAID IN CLASS]

In the simulation, which investment moves you toward Low Price?

- **✔ CORRECT: Vendor management (negotiating lower supplier costs)**
- Shopping experience
- Customer analytics
- Opening more stores

EXPLANATION

Lower costs let you charge lower prices. It's slow to build ('sluggish'), but it's the most reliable long-term lever. Kahn: 'Even if you don't go for a low price strategy, you should be managing costs.'

Practice: short answers (3), with model answers

SHORT ANSWER 1 (9 points)

Explain the Kahn Retailing Success Matrix and apply it to Amazon and one other retailer of your choice.

What a full-credit answer covers

- Names the 4 quadrants and the 2 axes (product vs experience; add pleasure vs remove pain)
- Fair value in all four to survive; best in one leveraged into a second to lead
- Don't overspend in non-leadership quadrants; expectations ratchet up
- Amazon correctly mapped: Frictionless → Low Price, fair value elsewhere
- Second retailer correctly mapped (e.g., Walmart LP→F; Costco LP+E; Warby B+LP; luxury B+E)

MODEL ANSWER

The matrix crosses two ideas: whether a retailer wins on the products (left) or the shopping experience (right), and whether it adds pleasure (top: Brand, Experiential) or removes pain (bottom: Low Price, Frictionless). To survive, a retailer must meet customers' fair-value minimum in all four. To lead, it must be best in one and leverage that into a second, staying 'good enough' in the other two, because overspending there wastes resources and leaders keep raising the bar. Amazon is best at Frictionless (everything store, data, fast delivery) and used that scale to become a Low Price leader, while being only fair value on Brand and Experience. Costco starts from Low Price (operational efficiency) and adds Experiential through its treasure-hunt assortment that keeps members coming back.

SHORT ANSWER 2 (9 points)

You advise Getchells (Macy's) in Pivot or Perish. Using the Kahn Matrix, how should it choose its strategy?

What a full-credit answer covers

- Diagnosis: mid-tier, stuck in the middle; trails in Frictionless, Experiential, Low Price; strength in brand
- Choose target segments by size, CLV, preferences, AND fit with strengths (STP)
- Pick one leadership quadrant + a complementary second; keep fair value (75% of leader) elsewhere
- Use matching levers (e.g., brand quality/private brands for Brand; shopping experience + service for Experiential) and avoid overspending
- Financial discipline: market value, WACC, don't over-expand stores/debt

MODEL ANSWER

Getchells is a legacy multi-brand store stuck in the middle: strong brand recognition but trailing in Frictionless, Experiential, and Low Price. First pick target segments that are large and valuable (CLV) and whose preferences fit Getchells' strengths, such as segments valuing Brand and Experience, rather than fighting Cadabra/Amazon on online low price. Then lead in one quadrant (e.g., Brand, through high-quality national and private brands) and leverage it into a second complementary one (Experiential, through shopping experience and customer service), while spending just enough to stay at fair value (75% of the leader) in Low Price and Frictionless. Because value is scored on market value, avoid over-expanding stores and debt, which raise WACC.

SHORT ANSWER 3 (9 points)

Why isn't being the best at just ONE quadrant enough anymore, and why shouldn't a retailer try to be best at all four?

What a full-credit answer covers

- Old view: best at one + good enough elsewhere; now competition is too intense
- One-trick leaders get caught: leverage into a second (arrow strategy)
- Customers' expectations ratchet up, so fair value keeps moving
- Being best at all four is impossible/too costly; resources stretched (sim: 3–4 dims = asset-inefficient)
- Example(s)

MODEL ANSWER

Classic strategy said be best at one thing and good enough at the rest. Kahn argues that's no longer sufficient: competition and disruption are so intense that leaders must leverage their first strength into a second (Amazon from Frictionless into Low Price; Costco from Low Price into Experiential). At the same time, trying to be best at all four spreads limited resources too thin and makes you good at nothing. In the simulation, teams that pushed on 3–4 dimensions became asset-inefficient. Customers' expectations also rise as leaders innovate, so you must keep meeting fair value in the other two without overspending there.